

Tata Consumer Products Ltd

Nifty 100 Company Tearsheet | TATACONSUM

Consumer Staples | Tata Consumer Products Ltd. is one of the leading companies of the Tata Group, with presence in the food and beverages business in India and internationally. It is the second largest tea company globally and has significant market presence and leadership in many markets. In addition to South Asia (mainly India), it has presence in various other geographies including Canada, UK, North America, Australia, Europe, Middle East and Africa. [1]

ROE

7.6%

ROCE

11.7%

Debt / Equity

0.22

Revenue CAGR 5Y

16.0%

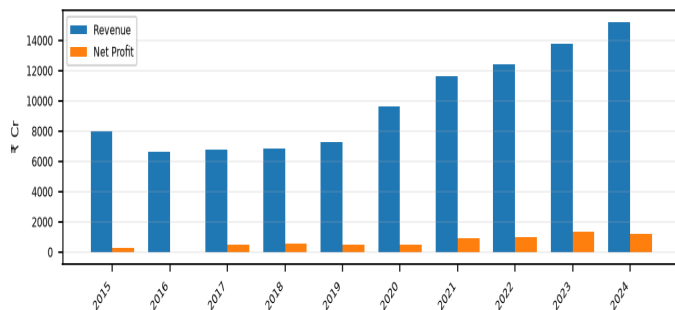
PAT CAGR 5Y

21.6%

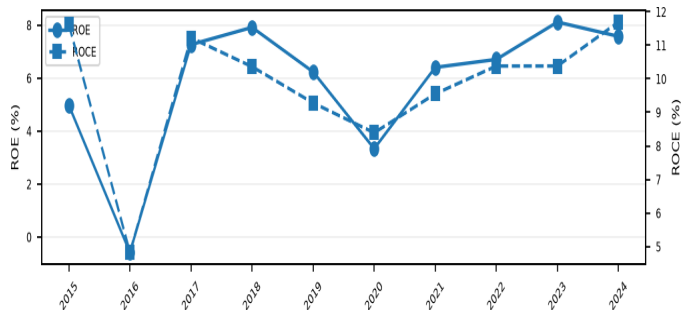
Free Cash Flow

■26 Cr

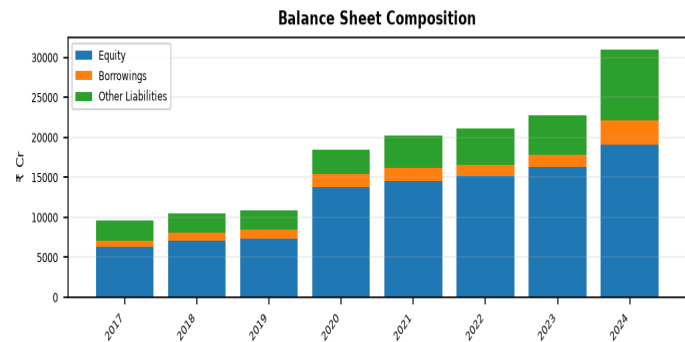
10-Year Revenue and Net Profit



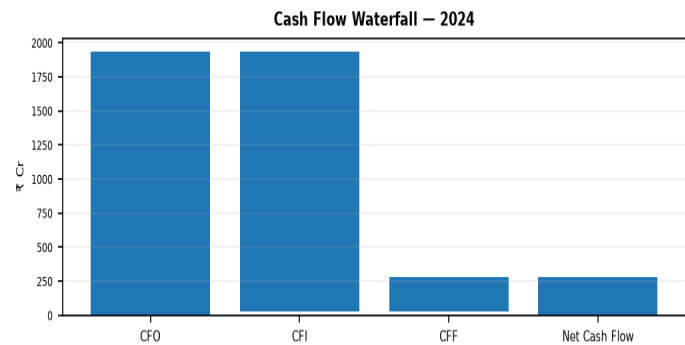
ROE and ROCE Trend



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Mixed